
Why Do Firms Exist?

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A photograph of a man and a woman shaking hands over a wooden table. The man, on the left, has a beard and is wearing a dark suit. The woman, on the right, is wearing a grey blazer over a white top and a gold necklace. On the table, there are two coffee cups, a laptop, and some papers. The background is slightly blurred, showing a window and some plants.

—

“Mazel u’broche.” A handshake and two words, and a stone worth a fortune changes hands.

A Brief Writing Exercise

YOUR IB VOICE

YOUR DECISION

You are a diamond dealer considering a sale on 60-day credit. What makes the buyer's promise credible? Defend your explanation with two details from Bernstein. Identify one change that would make you demand cash.

10 minutes • Individual • Notes permitted

Keep your response. We come back to it at the end of class.

Which explanation carries the most weight?

- **Personal trust:** the parties know one another.
- **Future business:** cheating puts later income at risk.
- **Cheaper than lawyers:** contracts and courts cost too much to bother with.
- **Institutional enforcement:** records and dispute procedures make sanctions credible.

What evidence would help us tell these apart?



Governing the Diamond Trade, 1992

One cartel decides who gets rough, and on what terms

80–85%

of the world's rough diamonds controlled
by DeBeers



[Rough Diamond](#) · Wikimedia Commons, CC0.

■ Ten sights a year in London; a box at a nonnegotiable price; decline it and you are not invited back.

No two cutters get the same value from a rough stone



Rough dealer, cutter and polisher, wholesaler, retailer: each stage adds value, and each handoff is a relationship that has to be governed.

Andere Andre, [Diamond Polisher](#), 2002 · Public domain.

Trade credit finances the next stage

A TYPICAL CREDIT SALE IN BERNSTEIN'S ACCOUNT



The seller's money is tied up while the buyer creates value.

Thirty and sixty days is roughly how long it takes to cut a stone: the seller finances the buyer's cash gap.



Four of every five rough stones entering the United States pass through a member of one club

Membership is screened, bonded, and worth keeping

2,000

members of the New York Diamond
Dealers Club, with a waiting list

Two years in the trade before applying.

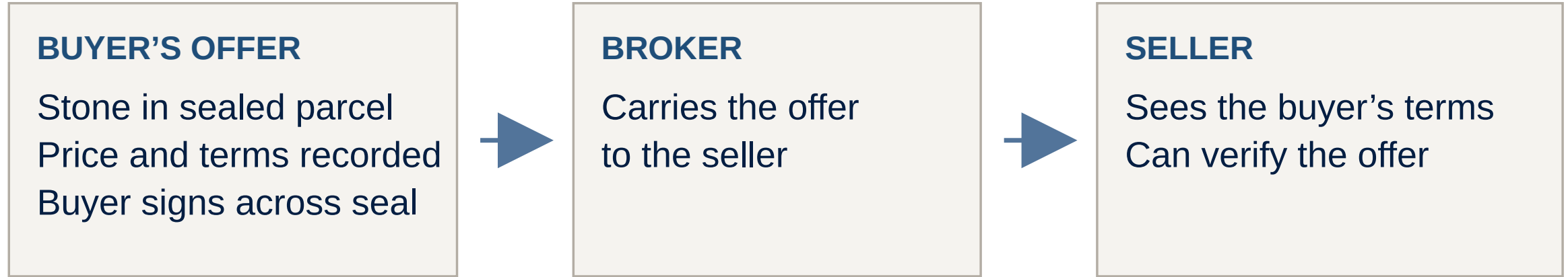
Photograph posted for ten days so
members can object.

\$5,000 to join, \$1,000 a year, two years
on probation.

Out-of-town dealers trade only on a
member's guarantee.

One membership opens all twenty bourses of the World Federation, and each bourse enforces the others' judgments.

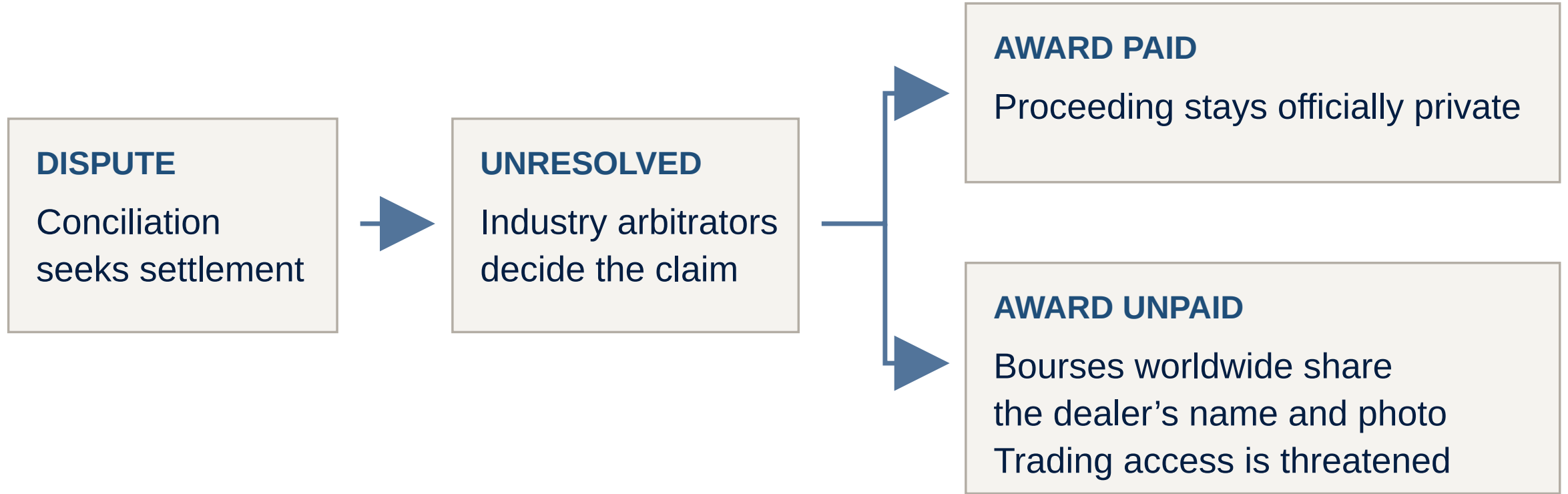
Written records support informal agreements



The record makes it harder for a broker to misreport the offered price.

Private ordering: the participants write the rules and run the institutions that govern their own trade.

Arbitration links a dispute to a credible sanction



About 150 disputes a year, roughly 85 percent settled in conciliation; an award unpaid after ten working days puts your photograph on the wall of every bourse in the world.

Private ordering operates inside a legal environment

Club institutions

Trade customs decide the case.

Reputation secures payment.

Members face club discipline.

Public legal framework

Law recognizes the agreement to arbitrate.

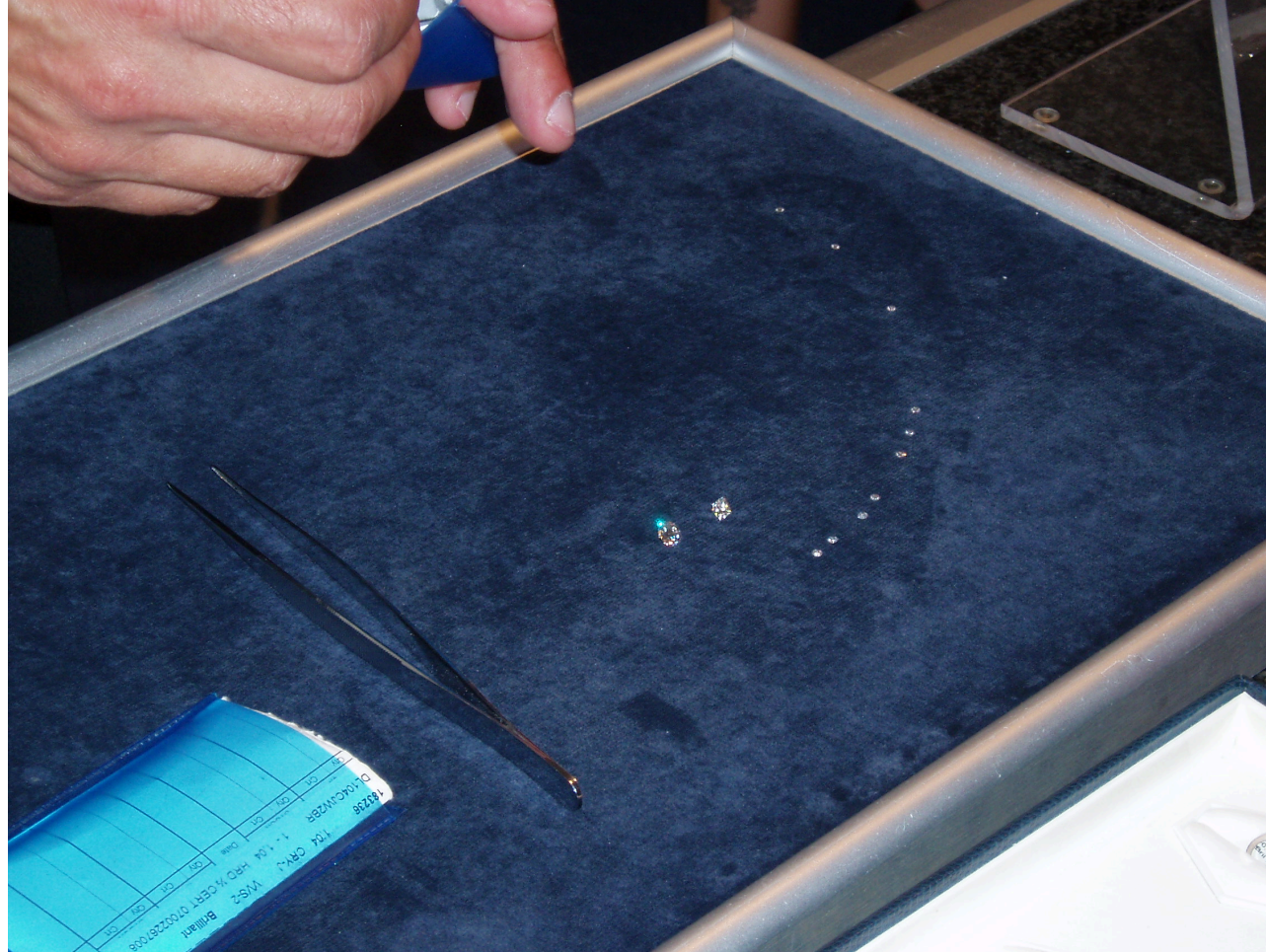
An award can be confirmed in court.

Courts review procedure, not substance.

The Diamond Dealers Club and New York law in Bernstein's 1992 account.

Confirmation in court is rarely sought, because going to court makes the dispute public.

A certificate lets an outsider grade what only insiders could



GIA grading certificates from the late 1970s and a weekly price list made polished stones easier to describe, and dealers with little gem expertise entered the market.

Malis, [Diamonds at Coster](#), 2007 · Public domain.

Secrecy protects insiders and keeps outsiders out

Whoever makes the workings of the trade public loses reputation, even when defending against a baseless suit.

Disputes stay secret as long as the award is paid, so members settle rather than sue.

■ From the inside, secrecy raises the barriers to entry that reduce potential competition.

What the club sells is enforcement

The handshake works because the club can take away tomorrow's trade.

Reputation is a bond, and the bourse is where it is posted.

Bernstein's phrase: dealers opt out of the legal system because a private system is faster, cheaper, and secret.



Why Do Firms Exist?

Coase asked why firms exist at all if prices coordinate



University of Chicago Law School, [Ronald Coase](#), 2008 · Reuse permitted with attribution.

The Nature of the Firm, 1937

Outside the firm, prices
direct resources.

Inside, a manager does.

Coase's answer: using the price mechanism has a cost, and a firm exists where organizing beats buying.

Using the market costs something at every step

THE COSTS OF USING THE PRICE MECHANISM

SEARCH AND INFORMATION

Who is trustworthy?
What is this stone worth?

Bourse, brokers, certificates

BARGAINING AND CONTRACTING

Agree a price and terms
Record what was agreed

Handshake, cachet, 60-day terms

MONITORING AND ENFORCEMENT

Did the other side perform?
What happens if not?

Arbitration, posted photograph

Every one of these costs is paid by someone: the parties, an intermediary, or the club.

Transaction costs are the costs of finding, agreeing, and making sure; the diamond club lowers all three for its members.

The purchase price leaves out coordination costs

Cost for the same component	Outside supplier	Internal unit
Purchase or production	\$80	\$88
Contracting or administration	\$12	\$9
Expected disruption loss	\$15	\$5
Total	\$107	\$102

Illustrative dollars per unit. Classroom assumptions, not estimates from the reading.

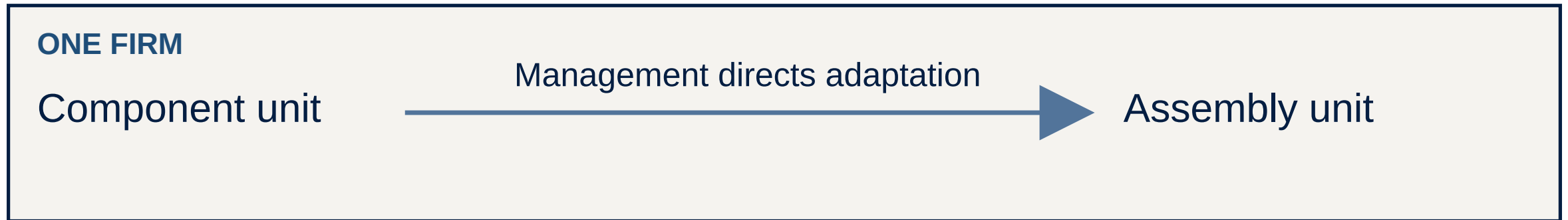
Make or buy: compare total expected costs for the same quality and output, not the invoice price.

Ownership changes who can direct adaptation

CONTRACTING BETWEEN FIRMS



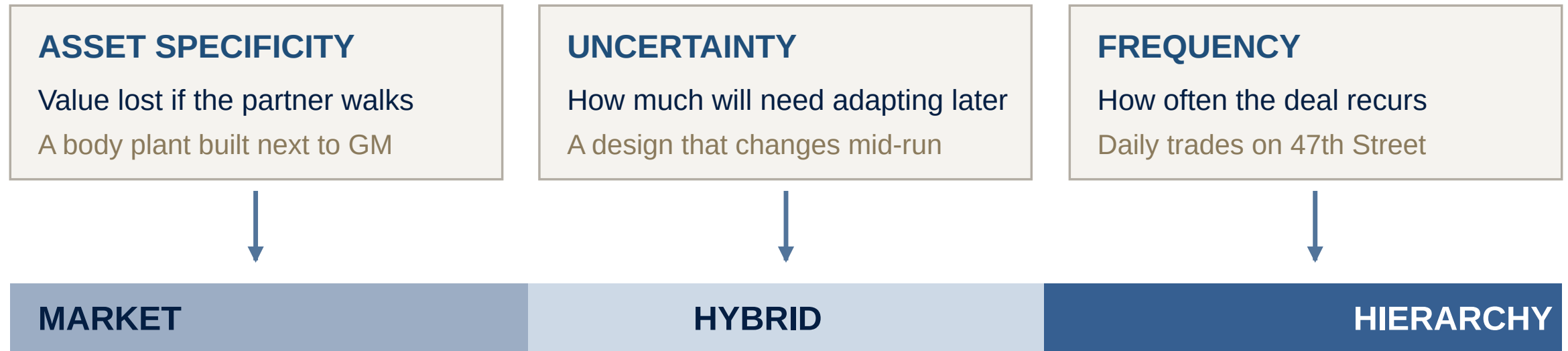
INTEGRATION



Contracts are incomplete: some future adaptations are left to be decided later, and ownership decides who gets to decide.

Three features of a transaction decide how it is best governed

WILLIAMSON: WHAT ABOUT THE TRANSACTION DECIDES ITS GOVERNANCE?

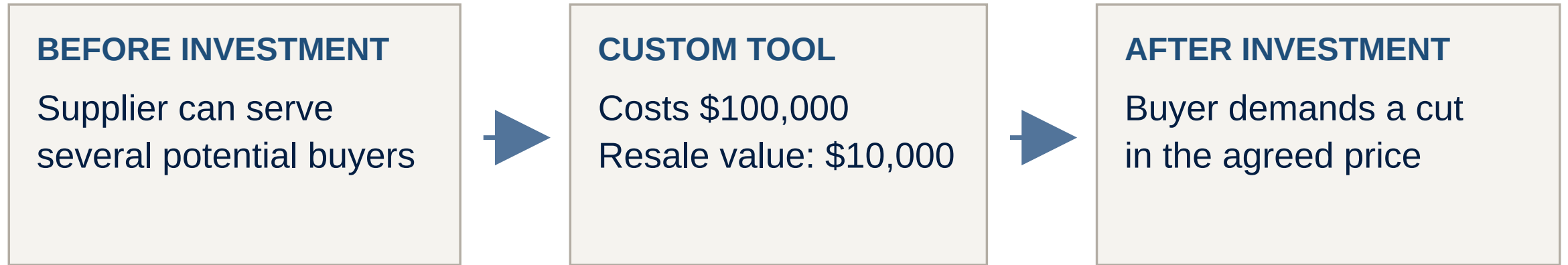


The higher these three, the more the transaction is worth bringing inside.

Williamson: a diamond is portable and generic, so a club suffices; a body plant built for one customer is not.

A specialized investment can weaken an outside option

ILLUSTRATIVE TOOLING INVESTMENT



Anticipating this bargaining problem can discourage the investment.

Hold-up: once the investment is sunk, the partner can bargain for the difference between \$100,000 and \$10,000.

GM and Fisher Body: the textbook hold-up case



Detroit Publishing Co., [Fisher body plant](#), c. 1915–1925 · Library of Congress, cropped.

1919: GM buys 60 percent of Fisher Body and signs a ten-year body-supply contract.

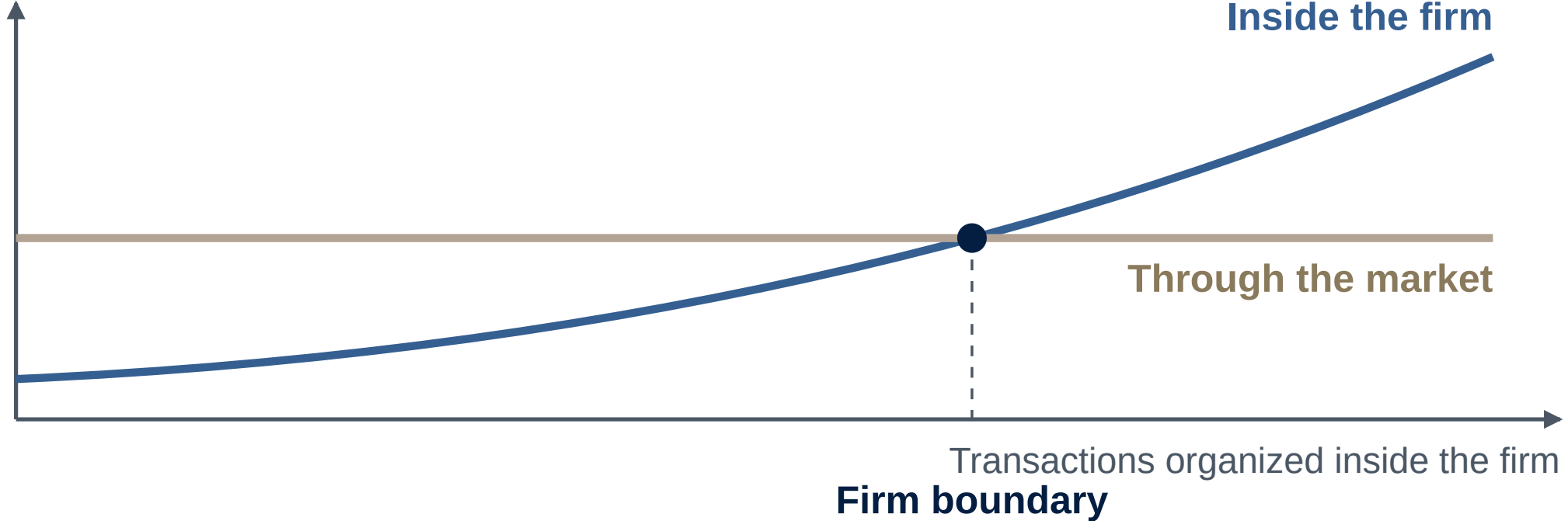
1926: GM buys the rest.

The classic story is that Fisher used GM's dependence to hold it up; Coase and others say the merger was about coordination and talent.

A firm grows until organizing beats buying no longer

COASE: WHY THE FIRM DOES NOT GROW WITHOUT LIMIT

Cost of organizing one more transaction



Ownership brings authority, and with it supervision, internal politics, and diminishing returns to management.

Between market and firm sits the relationship with rules

Arrangement	How coordination works	Main vulnerability
Market contract	Price, specifications, legal remedies	Costly verification or renegotiation
Relationship, alliance, or club	Shared rules, arbitration, reputation	Weak sanctions when future access matters little
Integration	Common ownership and management	Internal incentives and administration

■ The diamond bourse is the middle row: independent firms trading through institutions they own together.

Firms also exist to hold knowledge that markets cannot price

The cutter's eye, the arbitrator's judgment of a stone, a factory's way of working: know-how that lives in people and routines.

Such knowledge moves easily inside a firm and poorly across a contract.

Transaction costs explain why a firm exists; capabilities explain what it is good at. Wednesday's Apple case needs both.

Govern a Relationship in Your Industry

Choose how to govern one business relationship

1. **Select:** one transaction between a firm in your industry and a partner: a supplier, a distributor, a contract manufacturer, or a licensee.
2. **Diagnose:** which transaction cost bites hardest, and how specific are the assets?
3. **Recommend:** contracting, a continuing relationship with safeguards, or ownership.
4. **Defend:** name one safeguard and one cost of your choice.

10 minutes · Existing industry teams · No additional research

■ Produce a four-row note: relationship → problem → arrangement → safeguard and cost.

The conditions change

Half the teams: you cannot verify the partner's past conduct, and you expect no future business together.

The other half: your partner has just built a plant that serves only you.

Does your arrangement still hold? What do you add, and what does it cost?

3 minutes · Same teams · Add two sentences to your note

What did you have to add once the club was gone, or once the partner's plant was locked in?

4 one-minute reports, two from each condition, then discussion

Two moves to listen for: something stands in for the club, or someone takes ownership.

A sanction is only as strong as what you can take away

Private enforcement needs conduct that can be seen, news that travels, and a future worth protecting.

Take any one of the three away and the handshake needs help: verification, payment protection, a court, or ownership.

Where the firm ends is a choice, and the answer moves

Cheaper enforcement pushes work out to specialists; costlier adaptation pulls it back inside.

■ Certificates let outsiders into diamonds; hold-up pulled Fisher Body into GM. Same logic, opposite directions.

What makes the buyer's promise credible, and when would you change the arrangement?

The club governs a trade in stones that are easy to carry and hard to make specific. Wednesday: why did Apple hand its factories to Foxconn?